

RBI'S PRESCRIPTION

▶ **THE RBI HAS RELAXED GUIDELINES TO INCREASE CREDIT FLOWS FROM BANKS**

▶ **FINANCIALLY STRONGER BANKS WITH BETTER RISK MANAGEMENT WILL PAY A LOWER PREMIUM FOR DEPOSIT INSURANCE**

▶ **LOWER INSURANCE PREMIUM WILL GIVE THESE BANKS LEEWAY TO OFFER BETTER INTEREST RATES THAN WEAKER BANKS**

▶ **MOBILISATION OF LOW-COST FUNDS IS EXPECTED TO BOOST NET INTEREST MARGINS AND MARKET VALUATIONS**

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▶ **FINANCING OF CORPORATE ACQUISITIONS AND M&As, WHICH WAS BANNED EARLIER, TO OPEN UP ADDITIONAL CREDIT AVENUES**

▶ **MORE HEADROOM TO LEND TO LARGE CORPORATES AND CONGLOMERATES**



expected to firm up domestic demand as India grapples with an increasingly uncertain external trade landscape amid fears of a growth slowdown in advanced economies next year because of US President Donald Trump's tariff policies.

The RBI's actions are rooted in a broader strategic vision. "The measures aim to support economic momentum amid global uncertainties, enhance the strength and competitiveness of Indian banks, align regulatory frameworks with global best practices, and deepen participation in India's financial markets," says Pratik Shah, Partner and National Leader (Financial Services) at EY India.

Vivek Iyer, Partner, and Financial Services Risk Leader at Grant Thornton Bharat, says many countries are focusing on economic growth through domestic drivers such as investment and consumption. "These thematic growth schemes can be accelerated through the right levers under fiscal policy and monetary policies," he says.

These measures could also spark a shift in the lending space. In the last decade, the Indian banking sector has undergone a profound transformation—a clear shift towards retail or consumer lending and shifting of deposits to higher yielding equities and mutual funds.

A year ago, former RBI Governor Shaktikanta Das had admitted that households are increasingly turning to equity markets to park their surplus funds. The current Governor, Sanjay Malhotra, recently termed this shift "as a healthy trend".

MEASURING UP

Many see the RBI's push to globalise the rupee by allowing banks to lend in rupees in select neighbouring countries as a bold move, but this is easier said than done.

"While these initiatives enhance the rupee's position in global trade and finance, they simultaneously raise credit and recovery risks—particularly when lending to countries with weaker banking oversight and capital controls," warns Shah of EY India. Volatile economic and trade climate further compound credit risk for the bank.

Shah says if there are defaults, banks will face complex cross-jurisdictional enforcement challenges, further complicated by political and regulatory uncertainties in partner countries that may hinder contract enforceability. "Addressing these risks requires more than conventional risk management. Banks have to adopt country-specific exposure limits that account for sovereign risk and bilateral dynamics."

Shah suggests that banks prioritise cross-border rupee loans with enforceable collateral—with liquid assets or guarantees from credible local institutions—to build stronger protection against these vulnerabilities.

Similarly, allowing banks to finance M&As comes with its own set of risks. First, there is the likelihood of concentration risk. If a takeover fails, banks will suffer. "This is even more challenging at a time when global trade rules are shifting, and disruptions from technology and AI are reshaping industries," says an investment banker.

The key question is: do banks have the capabilities to truly assess risks in such fast-changing industry dynamics? "Such transactions are cyclical by nature and depend heavily on the financial strength of both the acquiring and target entities," says Shah, adding that banks today are better prepared due to stronger regulatory oversight, advanced risk management practices, and conditional approach to acquisition finance.

A Black Swan event could upset